

Week ending: 10th May 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day & 182-day** were undersubscribed recording **46.45%** and **42.64%** respectively, while the **364-day** was oversubscribed recording **253.19%**. The CBK accepted KES **1.86B**, **3.77B** and **15.19B** respectively of the bids for the **91-day, 182-day,** and **364-day** T-bills on offer accepting a total of **20.82B.**

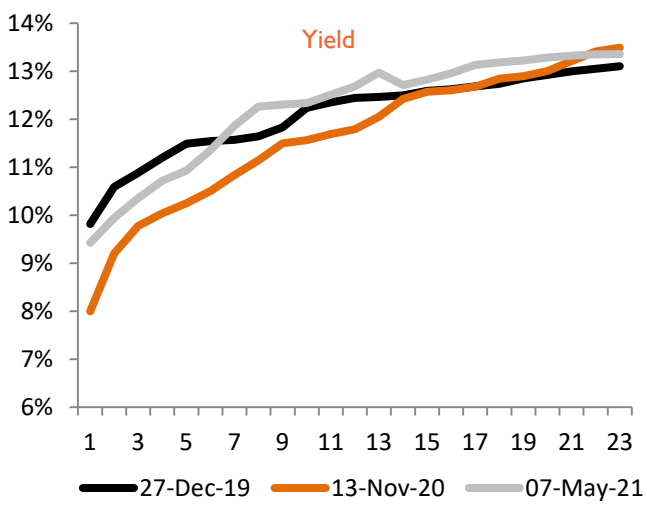
The Central Bank of Kenya re-opened a fixed bond **FXD2/2019/15-(13yr),** and opened a new fixed bond **FXD1/2021/25-(25yr)** that ran from **23/04/2021** to **04/05/2021** in a bid to raise **30Bn.** The **FXD2/2019/15** was undersubscribed recording **38.61%,** while **FXD1/2021/25** was undersubscribed recording **103.35%.** The CBK received bids worth **KES 42.56Bn** and accepted **KES 20.29Bn.** The bonds attracted a withholding tax rate of **10%.**

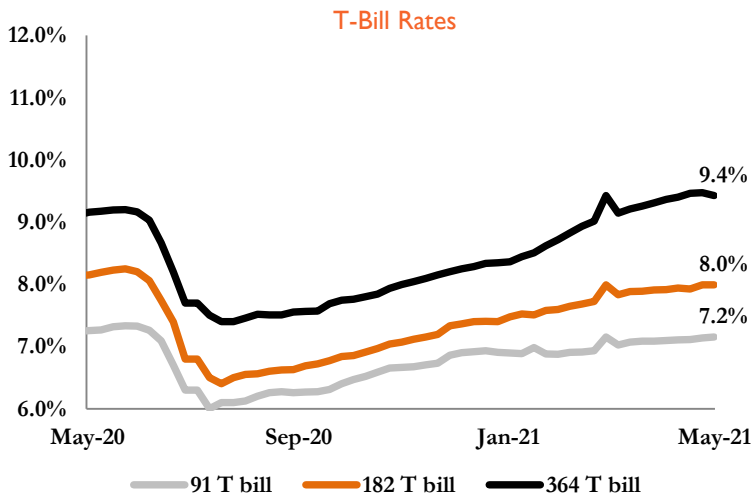
Key Indicators

	Current	Previous	% Change
91- Day	7.15%	7.14%	0.01%
182-Day	7.99%	7.99%	0.00%
364-Day	9.42%	9.47%	-0.05%
Interbank Rate	3.61%	4.83%	-25.26%

Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	-1.1%	5.8%
Inflation (April)	5.76%	5.90%
Private sector credit growth (February)	9.70%	9.30%
Money Supply (February)	12.40%	13.20%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling gained ground against the greenback this past week appreciating by **0.91%** to trade at **KES 106.86.** The CBK's usable forex reserves currently stands at **USD 7,575 million (4.63** months of import cover**)** as at May 6th, a **1.16%** decrease from **USD 7,664 million (4.71** months of import cover**)** as at April 29th .

Inflation

In April, Headline inflation decreased to **5.76%** from **5.90 %** in March. The CPI increased by **0.82%** from **113.81** in March to **114.75** in April. This decrease was driven by the lower food and fuel inflation compared to the previous month. Meanwhile, the food and alcoholic beverages index increased by **1.73%** due to the increase in prices of select food items. Headline inflation is likely to increase marginally on the back of higher food and fuel prices.

GDP growth

Growth receded by **-1.1%** in 3Q20 from **5.8%** in the corresponding period of 2019. The economic performance remained depressed due to the crisis caused by the pandemic. However, an improvement was observed compared to 2Q20. The quarterly improvement was majorly supported by growth in the agricultural sector that recorded **6.3%** growth compared to **5.0%** in 2019 and growth in construction by **16.2%** versus **6.6%** in 2019. Manufacturing, Electricity and Transportation sectors each recorded **3.2%, 4.7%** and **9.9%** growth respectively.

CONTACTS:

Research Desk
Sarah Wanga
Head of Research

Linda Kiraithe
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing
Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing
Crispus Otieno

Titus Marenye

Email:
trading@aib-axysafrica.com

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